

6.	25CV1844	LUCKY DONG 168, INC., A CALIFORNIA CORPORATION VS. 888 ZHU LLC, A CALIFORNIA LIMITED LIABILITY COMPANY ET AL
MOTION TO STRIKE AND DEMURRER		

This matter is before the Court on two motions filed by Defendants: 1) Demurrer; and 2) Motion to Strike.

DEMURRER

Pursuant to Code of Civil Procedure §§ 430.10(e) and 430.10(f), Defendants, 888 Zhu LLC, Sau Nhit Ch, Nhit Phu Chi, and Peng Cheong (collectively “Defendants”), demurrer to Plaintiff’s First Amended Complaint filed May 12, 2026. On June 25, 2026, Plaintiff, Lucky Dong 168, Inc., a California Corporation (“Plaintiff”), filed an opposition. On July 10, 2026, Defendants filed a reply.

Meet and Confer Requirement

Code of Civil Procedure §430.41(a) provides: Before filing a demurrer pursuant to this chapter, the demurring party shall meet and confer in person or by telephone with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer.

Code of Civil Procedure §430.41(a)(3):

The demurring party shall file and serve with the demurrer a declaration stating either of the following:

(A) The means by which the demurring party met and conferred with the party who filed the pleading subject to demurrer, and that the parties did not reach an agreement resolving the objections raised in the demurrer.

(B) That the party who filed the pleading subject to demurrer failed to respond to the meet and confer request of the demurring party or otherwise failed to meet and confer in good faith.

Dumas v. Los Angeles County Bd. of Supervisors (2020) 45 Cal. App. 5th 348 (“If, upon review of a declaration under section 430.41, subdivision (a)(3), a court learns no meet and confer has taken place, or concludes further conferences between counsel would likely be productive, it retains discretion to order counsel to meaningfully discuss the pleadings with an eye toward reducing the number of issues or eliminating the need for a demurrer, and to continue the hearing date to facilitate that effort”).

Based on the Declaration Jackie Sueyres, counsel attempted to meet and confer with Plaintiff prior to filing, but no response was received.

Background

On April 6, 2026, Plaintiff filed a First Amended Complaint (“FAC”) for: 1) Breach of Accord and Satisfaction; 2) Misappropriation of Trade Secrets Under CUTSA; 3) Fraud; and 4) Unfair Competition in Violation of Business and Professions Code § 17200, Et Seq.,; Injunctive Relief.

Plaintiff asserts that the Parties entered into contracts regarding the sale of Plaintiff’s business. Plaintiff provided to Defendants \$66,000 to fulfill the purchase of Plaintiff’s business. During these business dealings, Plaintiff alleges Defendants copied Plaintiff’s menu, recipes, marketing materials, trade logo, etc. The Parties thereafter mutually agreed to rescind the contracts. The Parties agreed that the return of the \$66,000 would satisfy any and all obligations of the Parties under the contracts and no terms or conditions or further obligations would remain between the Parties. Defendants returned the \$66,000 to Plaintiff.

Thereafter, Plaintiff learned Defendants opened a business in San Andreas, California with the same trade name of “Hong Kong Inn” spelled in the same stylistic font, identical logo, identical menu layout, identical menu items, etc. Defendants’ Statement of Information filed with the Secretary of State lists Plaintiff’s mailing address despite having no connection to the business.

Legal Principles

[A] demurrer challenges only the legal sufficiency of the complaint, not the truth or the accuracy of its factual allegations or the plaintiff’s ability to prove those allegations.” (*Amarel v. Connell* (1998) 202 Cal.App.3d 137, 140.) A demurrer is directed at the face of the complaint and to matters subject to judicial notice. (Code Civ. Proc., § 430.30, subd. (a).) All properly pleaded allegations of fact in the complaint are accepted as true, however improbable they may be, but not the contentions, deductions or conclusions of facts or law. (*Blank v. Kirwan* (1985) 39 Cal.3d gives “the complaint a reasonable interpretation, reading it as a whole and its parts in their context.” (Blank, *supra*, 39 Cal.3d at p. 318.)

Discussion

1. First Cause of Action – Breach of Accord and Satisfaction

Defendants argue that Plaintiff’s FAC alleged that the accord and satisfaction nullified and all obligations of the Parties under the Contracts so long as Defendants received a full refund, which occurred. There were no other terms, conditions, or further obligations on either Party in consideration of terminating the contracts. Plaintiff failed to identify any term in the alleged oral accord acquiring Defendants to refrain from later using any trade name, logo, menu, trade dress, recipe, goodwill, customer information,

vendor information, or operational procedure. Plaintiff pleads that after the refund, no contractual obligations remained.

Code of Civil Procedure § 1521 provides an accord is an agreement to accept, in extinction of an obligation, something different from or less than that to which the person agreeing to accept is entitled. Acceptance, by the creditor, of the consideration of an accord extinguishes the obligation, and is called satisfaction. Code of Civil Procedure § 1523. Where a party fully performs, the accord merges into the satisfaction and the original obligations are extinguished.

Moreover, an accord and satisfaction is characterized as a new matter constituting an affirmative defense, which must be specifically pleaded before it is available to a defendant. *Southern California Disinfecting Co. v. Lomkin* (1960) 183 Cal.App.2d 431, 444.

Plaintiff pleads that the Parties orally agreed to mutually rescind their contracts in exchange for a full refund, the refund was paid and acknowledged. Importantly, Plaintiff provides

The accord and satisfaction nullified any and all obligations of the Parties under the Contracts. There were no other terms or conditions or further obligations placed on either of the Parties in consideration for terminating the Contracts. Plaintiff retained no consideration from Defendant after the Parties “walked away” from the terms under the Contracts; Defendants did not reject any refund from Plaintiff or re-tender the consideration at any point to Plaintiff. (FAC ¶ 18) (emphasis added)

Plaintiff pleads that the accord is fully executed and satisfaction is complete, rendering the Contracts extinguished. The accord released obligations under the contract; it did not create new restrictions on future conduct unless the agreement expressly provides, which Plaintiff confirms it did not. Defendants’ demurrer is sustained without leave to amend, finding there is no reasonable possibility of curing the defect.

2. Second Cause of Action – Misappropriation of Trade Secrets Under CUTSA

Defendants argue that Plaintiff’s CUTSA cause of action mixes potentially secret information, such as recipes or vendor terms, with plainly public-facing materials which are not trade-secrets. Defendants request the Court sustain the demurrer to the Second Cause of Action to the extent it rests on public-facing materials and require Plaintiff, if leave is granted, to separate any alleged trade secrets from public branding and to plead the allegedly secret information with sufficient clarity.

As defined by the plain language of the statute, misappropriation of a trade secret under the California UTSA consists of only two elements: (1) existence of a trade secret, and (2) improper acquisition, use, or disclosure of that trade secret. *Applied Medical Distribution Corp. v. Jarrells* (2024) 100 Cal.App.5th 556, 569–570.

A “trade secret” means information including a formula, pattern, compilation, program, device, method, technique, or process, that: (1) Derives independent economic value, actual or potential, from not being generally known to the public or to other persons who can obtain economic value from its disclosure or use; and (2) Is the subject of efforts that are reasonable under the circumstances to maintain its secrecy. Code of Civil Procedure § 3426.1(d).

Plaintiff’s FAC provides specific information which they contend constitutes trade secrets. (FAC ¶¶ 45, 49). Defendants’ assertion that public-facing materials cannot be trade secrets is a question of fact that is not properly resolved on demurrer. The Court overrules Defendants’ demurrer to the Second Cause of Action.

3. Third Cause of Action – Fraud

Defendants argue the Third Cause of Action fails to provide the specificity required for fraud. Defendants contend Plaintiff’s allegations omit the required particulars, such as which Defendant made each alleged representation, the exact words used, the date each statement was made, where each statement was made, whether the statement was oral, written, or implied, who received each statement on Plaintiff’s behalf, how each statement was communicated, facts showing the statement was false when made, facts showing each speaker’s intent not to perform at the time of the statement, or facts establishing reliance by the corporate Plaintiff on each specific representation. Plaintiff pleads that all Defendants acted jointly and severally, independently, and in collusion which is insufficient to the specification requirements for a claim of fraud.

In California, fraud must be pled specifically; general and conclusory allegations do not suffice. (*Stansfield v. Starkey* (1990) 220 Cal.App.3d 59, 74, 269 Cal.Rptr. 337; *Nagy v. Nagy* (1989) 210 Cal.App.3d 1262, 1268, 258 Cal.Rptr. 787; 5 Witkin, Cal.Procedure (3d ed. 1985) Pleading, § 662, pp. 111–112.) “Thus ‘ “the policy of liberal construction of the pleadings ... will not ordinarily be invoked to sustain a pleading defective in any material respect.’ ” [Citation.] [¶] **This particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered.**” (*Stansfield*, supra, 220 Cal.App.3d at p. 73, 269 Cal.Rptr. 337, italics in original.) **A plaintiff’s**

burden in asserting a fraud claim against a corporate employer is even greater. In such a case, the plaintiff must “allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written.” (*Tarmann v. State Farm Mutual Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, 157, 2 Cal.Rptr.2d 861.)

Lazar v. Superior Court (1996) 12 Cal.4th 631, 645 [49 Cal.Rptr.2d 377, 385, 909 P.2d 981, 989] (emphasis added)

Plaintiff has failed to satisfy the particularity requirement for an allegation of fraud. The Court sustains Defendants’ demurrer to the Third Cause of Action with leave to amend.

4. Fourth Cause of Action – Unfair Competition Under Business and Professions Code Section 17200

Defendants argue Plaintiff’s Fourth Cause of Action seeks relief beyond what is available under UCL, as Plaintiff may not recover damages, punitive damages, treble damages, lost profits, lost market share, or Defendants’ profits unless the requested money is restitutionary. Defendants request the Court sustain the demurrer to the extent the UCL seeks unavailable monetary remedies and the corresponding allegations and prayer should be stricken.

Defendants further argue that Plaintiff’s UCL claim rests heavily on the same nucleus of facts as the CUTSA claim. Defendants contend that to the extent the UCL claim merely repackages alleged trade-secret acquisition and use, it is displaced by CUTSA.

CUTSA includes a specific provision concerning preemption. That provision, section 3426.7, reads in pertinent part as follows: ‘(a) Except as otherwise expressly provided, this title does not supersede any statute relating to misappropriation of a trade secret, or any statute otherwise regulating trade secrets. [¶] (b) This title does not affect (1) *contractual remedies, whether or not based upon misappropriation of a trade secret*, (2) *other civil remedies that are not based upon misappropriation of a trade secret*, or (3) criminal remedies, whether or not based upon misappropriation of a trade secret.’ Section 3426.7 thus ‘expressly allows contractual and criminal remedies, whether or not based on trade secret misappropriation.’ [Citation.] **At the same time, § 3426.7 implicitly preempts alternative civil remedies based on trade secret**

misappropriation.

Angelica Textile Services, Inc. v. Park (2013) 220 Cal.App.4th 495, 505 [163 Cal.Rptr.3d 192, 201], as modified (Oct. 29, 2013), as modified on denial of reh'g (Nov. 7, 2013) (emphasis added)

Section 3426.7(b) preempts common law claims that are “based on the same nucleus of facts as the misappropriation of trade secrets. (*Digital Envoy, Inc. v. Google, Inc.*, supra, 370 F.Supp.2d at p. 1035.) *K.C. Multimedia, Inc. v. Bank of America Technology & Operations, Inc.* (2009) 171 Cal.App.4th 939, 958 [90 Cal.Rptr.3d 247, 261] .

Business and Professions Code § 17203 authorizes courts to enjoin unfair competition and to restore any person money or property acquired by means of unfair competition; however, the code does not authorize punitive damages, treble damages, or nonrestitutionary disgorgement. *See Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1152 (“We hold that nonrestitutionary disgorgement of profits is not an available remedy in an individual action under the UCL.”)

Plaintiff’s Fourth Cause of Action is premised on the same nucleus of facts pertaining to Defendants’ alleged taking of trade secrets that forms the basis of Plaintiff’s CUTSA claim. The Court sustains Defendants’ demurrer to the Fourth Cause of Action, with leave to amend. The Court finds the proper procedure for Defendants’ remedies argument is within Defendants’ motion to strike.

MOTION TO STRIKE

Pursuant to Code of Civil Procedure §§ 435 and 436, Defendants move to strike specified portions of Plaintiff’s FAC. On June 25, 2026, Plaintiff filed an opposition.

Defendants move to strike the following portions of the FAC:

1. Paragraph 53, page 16, lines 13-19, including the request for “exemplary damages in the form of triple the combined sum of the general and special damages,” to the extent it seeks treble damages or exemplary damages beyond those authorized by Civil Code section 3426.3(c).
2. Paragraph 64, page 18, lines 18-22, including the request for “punitive damages” and “treble damages” based on the fraud cause of action, because the fraud claim is not pleaded with specificity and the punitive-damages allegations are conclusory.
3. Paragraph 77, page 21, lines 23-28 through page 22, lines 1-2, including the request for “disgorgement of all improper gains Defendant(s) achieved,” to the extent it seeks nonrestitutionary disgorgement under the UCL.
4. Paragraph 82, page 23, lines 3-9, including the request for punitive damages and treble damages under or in connection with the UCL cause of action.

5. Prayer for Relief, paragraph D, page 23, lines 20-21, seeking punitive damages “equal to treble all general and special damages.”
6. Prayer for Relief, paragraph E, page 23, lines 22-23, seeking “Restitution” to the extent it seeks nonrestitutionary disgorgement or money in which Plaintiff has no vested ownership interest.
7. Prayer for Relief, paragraph F, page 23, lines 24-27, seeking a reasonable royalty of Defendants’ revenues and incomes “derived from use of Plaintiff’s intellectual property and trade dress,” to the extent it seeks CUTSA royalty remedies for non-trade-secret intellectual property, public trade dress, or publicly visible materials.
8. Prayer for Relief, paragraph H, page 24, lines 3-10, to the extent it seeks an overbroad injunction prohibiting Defendants from “contacting or soliciting any of Plaintiff’s customers, vendors or business partners” without limitation to protectable trade secrets, confidential information, or independently unlawful conduct.
9. Prayer for Relief, paragraph I, page 24, lines 11-12, seeking attorney’s fees and costs “if deemed appropriate by this court,” to the extent no contractual or statutory basis exists apart from any properly pleaded CUTSA claim.
10. Prayer for Relief, paragraph K, page 24, lines 15-17, seeking a constructive trust over “all profits generated from Defendants and its successors and assigns,” to the extent it seeks nonrestitutionary disgorgement or profits not traceable to money or property in which Plaintiff has a vested ownership interest.

Legal Principles

A motion to strike is generally used to address defects appearing on the face of a pleading that are not subject to demurrer. (*Pierson v. Sharp Memorial Hospital* (1989) 216 Cal.App.3d 340, 342.) “The court may, upon a motion [to strike] ..., or at any time in its discretion ... [¶] ... [s]trike out any irrelevant, false, or improper matter inserted in any pleading.” (Code Civ. Proc., § 436, subd. (a).) Like a demurrer, the grounds for a motion to strike must appear on the face of the pleading or from any matter which the court is required to take judicial notice. (Code Civ. Proc., § 437, subd. (a).) On a motion to strike the trial court must read the complaint as a whole, considering all parts in their context, and must assume the truth of all well-pleaded allegations. (*Courtesy Ambulance*, supra, 8 Cal.App.4th at p. 1519.)

Discussion

1. **Paragraph 53, page 16, lines 13-19, Paragraph 64, page 18, lines 18-22, Paragraph 82, page 23, lines 3-9, Prayer for Relief, paragraph D, page 23, lines 20-21**

Defendant moves to strike punitive and treble damages allegations that are unsupported or unavailable. Defendant argues that punitive damages cannot be supported by conclusory labels. Additionally, Defendant asserts the FAC seeks “triple”

damages under CUTSA which are not authorized. Lastly, Defendant contends that punitive and treble damages are unavailable under the UCL.

53. Defendant committed the acts averred fraudulently, maliciously and oppressively, with the wrongful intention of injuring Plaintiff from an improper and evil motive amounting to malice, and in conscious disregard of Plaintiff's rights. Plaintiff is entitled to recover exemplary damages in the form of triple the combined sum of the general and special damages from Defendant(s) jointly and severally, as provided by California Civil Code section 3426.3(c), plus an award of reasonable attorneys' fees, as provided by California Civil Code section 3426.4, in amounts according to proof.

Code of Civil Procedure § 3426.3(c) provides the Court with the discretion to award exemplary damages in an amount not exceeding twice any award made under subdivision (a) or (b) upon a showing of willful or malicious misappropriation. An award of attorney's fees and costs may be ordered by the Court to the prevailing party on a claim of misappropriation made in bad faith. Code of Civil Procedure § 3426.4.

Plaintiff seeks triple the combined sum of general and special damages from Defendants provided by Code of Civil Procedure § 6426.3(c), which is improper. The Court grants Defendants' motion to strike in part and denies in part. The Court strikes the following from Paragraph 53, "in the form of triple the combined sum of the general and special damages". Defendant's motion to strike the remainder of Paragraph 53 is denied.

64. As a result of the willful misconduct of Defendant(s) and the misrepresentations made to Plaintiff that induced Plaintiff to reveal trade secrets without receiving just compensation or any consideration, and then for Defendant(s) to then utilize the same trade secrets to directly compete against Plaintiff, punitive damages are justified equivalent to treble damages or at an amount to be proven in trial.

As the Court sustained Defendants' demurrer as to the Third Cause of Action, Defendants' motion to strike paragraph 64 is rendered moot.

82. Plaintiff is informed and believes that Defendant(s) committed the aforementioned acts fraudulently, maliciously, and oppressively, with the wrongful intention of injuring Plaintiff by confusing and pilfering potential customers from Plaintiff. Such conduct amounts to malice, and in conscious disregard of Plaintiff's rights. Plaintiff is thus entitled to recover punitive damages equal to treble all general and special damages from Defendant(s) jointly and severally, in an amount according to proof.

As the Court sustained Defendants' demurrer as to the Fourth Cause of Action, Defendants' motion to strike paragraph 82 is rendered moot.

Prayer for Relief, D. Punitive damages for all causes of action that provide for the recovery of punitive damages in an amount equal to treble all general and special damages

Plaintiff seeks punitive damages in the amount equal to treble all general and special damages, which is improper under Code of Civil Procedure § 3426.3(c). The Court grants Defendants' motion to strike in part and denies in part. The Court strikes the following from Prayer for Relief, D, "in an amount equal to treble all general and special damages". Defendant's motion to strike the remainder of Paragraph 53 is denied.

2. **Paragraph 77, page 21, lines 23-28 through page 22, lines 1-2, Prayer for Relief, paragraph E, page 23, lines 22-23, Prayer for Relief, paragraph K, page 24, lines 15-17**

Defendants argue the UCL does not permit compensatory damages, punitive damages, treble damages, or nonrestitutionary disgorgement. Defendants assert that Plaintiff seeks Defendants' revenues, income, and profits because they allegedly benefited from unfair competition, which is nonrestitutionary disgorgement and unavailable to a private UCL plaintiff.

77. Plaintiff is further informed and believes, and thereupon avers, that Defendant(s) have been unjustly enriched through the aforesaid allegations, to the corresponding detriment of Plaintiff, as a result of their wrongful and intentional conduct. Pursuant to Bus. and Prof Code § 17203. Plaintiff is therefore entitled to disgorgement of all improper gains Defendant(s) achieved by use of information obtained from Plaintiff.

As the Court sustained Defendants' demurrer as to the Fourth Cause of Action, Defendants' motion to strike paragraph 77 is rendered moot.

Prayer for Relief, E: Restitution to Plaintiff in the amount for which Defendants have been unjustly enriched according to proof.

A complainant may recover damages for the actual loss caused by misappropriation. A complainant also may recover for the unjust enrichment caused by misappropriation that is not taken into account in computing damages for actual loss. Code of Civil Procedure § 3426.3(a). "...a successful trade secret plaintiff is entitled to the full panoply of remedies, including injunctive relief against further misappropriation (§ 3426.2), damages for actual loss (§ 3426.3), and relief from unjust enrichment (*ibid.*)."

Cadence Design Systems, Inc. v. Avant! Corp. (2002) 29 Cal.4th 215, 226.

Plaintiff seeks restitution in the amount Defendants have been unjustly enriched according to proof, which is an appropriate remedy. Defendants' motion to strike Prayer for Relief, E is denied.

Prayer for Relief, K: That the court establish a constructive trust to hold all profits generated from Defendants and its successors and assigns, for which may be disgorged as restitution to Plaintiff upon a showing a proof.

To the extent a constructive trust functions as an equitable remedy tied to identifiable profits derived from misappropriation, it may be a form of relief pursuant to Code of Civil Procedure § 3426.2. However, Plaintiff's request is overbroad and seeks all profits generated from Defendants, not just those identifiable from the misappropriation. Defendants' motion to strike is granted, with leave to amend.

3. Prayer for Relief, paragraph F, page 23, lines 24-27

Defendants argue prayer paragraph F is overbroad and not in conformity with Code of Civil Procedure § 3426.3, which authorizes a reasonable royalty only as a CUTSA remedy for trade-secret misappropriation and does not apply to non-trade secret intellectual property, public trade dress, public signage, public menus, or other customer-facing materials.

Prayer for Relief, F: Pursuant to California Civil Code §§ 3426.2(b) and 3426.3(b), a reasonable royalty of Defendant(s)' revenues and incomes derived from use of Plaintiff's intellectual property and trade dress.

Code of Civil Procedure § 3426.2(b) provides that if the Court determines it would be unreasonable to prohibit future use, an injunction may condition future use upon payment of reasonable royalty for no longer than the period of time the use could have been prohibited. Code of Civil Procedure § 3426.3(b) provides that if neither damages nor unjust enrichment caused by misappropriation are provable, the Court may order payment of a reasonable royalty for no longer than the period of time the use could have been prohibited.

Both code sections expressly refer to "misappropriation," which is defined by Code of Civil Procedure § 3421.1(b) as the acquisition, use, or disclosure of a trade secret. A "trade secret" means information, including a formula pattern, compilation, program, device, method, technique, or process, that: (1) Derives independent economic value, actual or potential, from not being generally known to the public or to other persons who can obtain economic value from its disclosure or use; and (2) Is the subject of efforts that are reasonable under the circumstances to maintain its secrecy. *Id.* at (d).

Plaintiff's Prayer for Relief, F is overbroad, as it seeks a reasonable royalty on all Defendants' revenues and incomes without limiting the royalty to revenues attributable to misappropriation of trade secrets. Defendants' motion to strike is granted, with leave to amend.

4. Prayer for Relief, paragraph H, page 24, lines 3-10

Defendants argue the requested injunction is overbroad, as it is not limited to protectable trade secrets, confidential information, contractual restrictions, or independently unlawful conduct. It further extends to all customers, vendors, and business partners, whether or not their identities, terms, or relationships are secret.

Prayer for Relief, H: Preliminary and permanent injunctive relief, including but not limited to, an order requiring Defendants to return and destroy all confidential, proprietary, trade dress, intellectual property, and trade secret information to Plaintiff; prohibiting Defendants from using any of Plaintiff's confidential, proprietary, trade dress, intellectual property, and trade secret information for any purpose whatsoever; prohibiting Defendants from contacting or soliciting any of Plaintiff's customers, vendors or business partners; and ordering Defendants to revise and re-file a truthful and correct Statement of Information with the California Secretary of State.

Code of Civil Procedure § 3426.2(a) provides that actual or threatened misappropriation may be enjoined and that injunction shall be terminated when the trade secret has ceased to exist. In appropriate circumstances, affirmative acts to protect a trade secret may be compelled by court order. *Id.* at (c).

“ ‘A trade secret will not be protected by the extraordinary remedy of an injunction on mere suspicion or apprehension of injury. There must be a substantial threat of impending injury before an injunction will issue....’ [Citations.]” (*Del Monte Fresh Produce Co. v. Dole Food Co., Inc.* (S.D.Fla.2001) 148 F.Supp.2d 1326, 1328 [discussing California and Florida law].) *FLIR Systems, Inc. v. Parrish* (2009) 174 Cal.App.4th 1270, 1279.

Plaintiff's Prayer for Relief, H is overbroad, as it seeks to prohibit Defendants from using any confidential, proprietary, trade dress, intellectual property, and trade secret information. Such language goes beyond the actual or threatened misappropriation of trade secrets as defined by Code of Civil Procedure § 3426.2(a). Defendants' motion to strike is granted, with leave to amend.

5. Prayer for Relief, paragraph I, page 24, lines 11-12

Defendants argue Plaintiff has not pleaded a contractual fee provision applicable to the alleged accord and CUTSA permits fees only in specified circumstances, such as willful and malicious misappropriation or bad-faith claims or motions, under Code of Civil Procedure § 3426.4.

Prayer for Relief, I: Reasonable attorney's fees and costs if deemed appropriate by this court.

The Court is unpersuaded by Defendants' argument. *In Camenisch v. Superior Court* (1996) 44 Cal.App.4th 1689, the appellate court ruled it was not an error in refusing to strike a prayer for attorney fees on the basis the complaint did not allege a contract allowing for recovery of attorney fees by the prevailing party. The court held that "the court was not required to strike the prayer before he has had a full opportunity to determine, through discovery, whether a basis for recovery exists."

Plaintiff may be entitled to attorney fees under Code of Civil Procedure § 3426.4; however, whether Plaintiff qualifies is fact-dependent and discovery may be required to determine whether a basis for recovery exists. Defendants' motion to strike is denied.

TENTATIVE RULING #6:

DEMURRER

DEFENDANTS' DEMURRER IS SUSTAINED WITHOUT LEAVE TO AMEND AS TO PLAINTIFF'S FIRST CAUSE OF ACTION. DEFENDANTS' DEMURRER IS OVERRULED AS TO PLAINTIFF'S SECOND CAUSE OF ACTION. DEFENDANTS' DEMURRER IS SUSTAINED WITH LEAVE TO AMEND AS TO PLAINTIFF'S THIRD AND FOURTH CAUSES OF ACTION.

MOTION TO STRIKE

THE COURT GRANTS DEFENDANTS' MOTION TO STRIKE PARAGRAPH NO. 53 IN PART AND DENIES IN PART. THE COURT STRIKES THE FOLLOWING FROM PARAGRAPH NO. 53, "IN THE FORM OF TRIPLE THE COMBINED SUM OF THE GENERAL AND SPECIAL DAMAGES." DEFENDANTS' MOTION TO STRIKE THE REMAINDER OF PARAGRAPH NO. 53 IS DENIED.

THE COURT GRANTS DEFENDANTS' MOTION TO STRIKE PRAYER FOR RELIEF, D IN PART AND DENIES IN PART. THE COURT STRIKES THE FOLLOWING FROM PRAYER FOR RELIEF, D, "IN AN AMOUNT EQUAL TO TREBLE ALL GENERAL AND SPECIAL DAMAGES". DEFENDANTS' MOTION TO STRIKE THE REMAINDER OF PRAYER FOR RELIEF, D IS DENIED.

DEFENDANTS' MOTION TO STRIKE PRAYER FOR RELIEF, E AND I IS DENIED.

DEFENDANTS' MOTION TO STRIKE PRAYER FOR RELIEF, F, H, AND K IS GRANTED, WITH LEAVE TO AMEND.

AS THE COURT SUSTAINED DEFENDANTS' DEMURRER AS TO THE THIRD AND FOURTH CAUSES OF ACTION, DEFENDANTS' MOTION TO STRIKE PARAGRAPH NOS. 64, 77, 82 ARE RENDERED MOOT.

NO HEARING ON THIS MATTER WILL BE HELD UNLESS A REQUEST FOR ORAL ARGUMENT IS TRANSMITTED ELECTRONICALLY THROUGH THE COURT'S WEBSITE OR BY TELEPHONE TO THE COURT AT (530) 621-6551 BY 4:00 P.M. ON THE DAY THE TENTATIVE RULING IS ISSUED. CAL. RULE CT. 3.1308; LOCAL RULE 8.05.07; SEE ALSO LEWIS V. SUPERIOR COURT, 19 CAL.4TH 1232, 1247 (1999).

NOTICE TO ALL PARTIES OF A REQUEST FOR ORAL ARGUMENT AND THE GROUNDS UPON WHICH ARGUMENT IS BEING REQUESTED MUST BE MADE BY TELEPHONE OR IN PERSON BY 4:00 P.M. ON THE DAY THE TENTATIVE RULING IS ISSUED. CAL. RULE CT. 3.1308; EL DORADO COUNTY LOCAL RULE 8.05.07. PROOF OF SERVICE OF SAID NOTICE MUST BE FILED PRIOR TO OR AT THE HEARING.

LONG CAUSE HEARINGS MUST BE REQUESTED BY 4:00 P.M. ON THE DAY THE TENTATIVE RULING IS ISSUED AND THE PARTIES ARE TO PROVIDE THE COURT WITH THREE MUTUALLY AGREEABLE DATES ON FRIDAY AFTERNOONS AT 2:30 P.M. LONG CAUSE ORAL ARGUMENT REQUESTS WILL BE SET FOR HEARING ON ONE OF THE THREE MUTUALLY AGREEABLE DATES ON FRIDAY AFTERNOONS AT 2:30 P.M. THE COURT WILL ADVISE THE PARTIES OF THE LONG CAUSE HEARING DATE AND TIME BY 5:00 P.M. ON THE DAY THE TENTATIVE RULING IS ISSUED. PARTIES MAY PERSONALLY APPEAR AT THE HEARING.